Further, in 2006, the Ministry of Finance, Government of India, issued an Office Memorandum regarding performance audit by the CAG. The Memorandum clarified that the performance audit falls within the scope of audit by the CAG. The performance audit is concerned with the audit of economy, efficiency and effectiveness in the receipt and application of public funds. It is a comprehensive appraisal of the progress and efficiency of the execution of development programmes. In this audit, an attempt is made (i) to assess and appraise to what extent the social and economic objectives sought to be achieved have been achieved and at what cost; (ii) to examine how far the agency of department is adequately discharging its financial responsibilities and (iii) to ascertain whether the schemes are being executed and their operations conducted economically.

The CAG has more freedom with regard to audit of expenditure than with regard to audit of receipts, stores and stock. "Whereas in relation to expenditure he/she decides the scope of audit and frames his/her own audit codes and manuals, he/she has to proceed with the approval of the executive government in relation to rules for the conduct of the other audits."[5]

The secret service expenditure is a limitation on the auditing role of the CAG. In this regard, the CAG cannot call for particulars of expenditure incurred by the executive agencies, but has to accept a certificate from the competent administrative authority that the expenditure has been so incurred under his/her authority.

The Constitution of India visualises the CAG to be Comptroller as well as Auditor General. However, in practice, the CAG is fulfilling the role of an Auditor-General only and not that of a Comptroller. In other words, 'the CAG has no control over the issue of money from the consolidated fund and many departments are authorised to draw money by issuing cheques without specific authority from the CAG, who is concerned only at the audit stage when the expenditure has already taken place'[6]. In this respect, the CAG of India differs totally from the CAG of Britain who has powers of both Comptroller as well as Auditor General. In other words, in Britain, the executive can draw money from the public exchequer only with the approval of the CAG.

Cag And Corporations

The role of CAG in the auditing of public corporations is limited. Broadly speaking, his/her relationship with the public corporations falls into the following three categories:

1. Some corporations are audited totally and directly by the CAG.
2. Some other corporations are audited by private professional auditors who are appointed by the Central Government in consultation with the CAG. If necessary, the CAG can conduct supplementary audit.
3. Some other corporations are totally subjected to private audit. In other words, their audit is done exclusively by private professional auditors and the CAG does not come into the picture at all. They submit their annual reports and accounts directly to the Parliament.

The role of the CAG in the auditing of Government companies is also limited. They are audited by private auditors who are appointed by the Government on the advise of the CAG. The CAG can also undertake supplementary audit or test audit of such companies.

Appleby's Criticism